

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the
Interstate Transmission System

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Docket No. RM26-4-000

REPLY COMMENTS OF THE DATA CENTER COALITION

On October 27, 2025, the Federal Energy Regulatory Commission (Commission or FERC) issued a Notice Inviting Comments in this docket following a directive from the Secretary of Energy pursuant to Section 403 of the Department of Energy Organization Act. The Data Center Coalition (DCC) filed its comments (Initial Comments) in this docket on November 20, 2025. DCC respectfully submits the following reply comments pursuant to the Commission's Advanced Notice of Proposed Rulemaking (ANOPR) concerning the timely and orderly interconnection of large loads, and November 7, 2025 Notice Granting Extension of Time. We again commend DOE and FERC for recognizing that interconnection policy is now directly tied to America's energy security, economic leadership, and technological competitiveness.

I. Communications

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II. About DCC

The Data Center Coalition (DCC) is the membership association for the U.S. data center industry, representing leading data center owners and operators as well as companies leasing large amounts of data center capacity.¹ DCC's member companies provide the digital infrastructure that supports the applications, capabilities, and essential services that enable our modern economy. Our members are making significant, multi-billion dollar investments in America's infrastructure that benefit and provide employment opportunities to states and local communities. These investments support hundreds of thousands of quality jobs across the nation, and contribute billions of dollars in local, state, and federal tax revenue, providing consistent funding for important community priorities like public safety, education, and transportation. Between 2017 and 2023, the data center industry's total contribution to U.S. GDP was \$3.5 trillion. In 2023, the U.S. data center industry directly employed more than 600,000 workers and supported 4.7 million jobs in total. The sector generated \$404 billion in total labor income and contributed \$162.7 billion in federal, state, and local taxes in 2023. Notably, each direct data center job sustains more than six additional jobs elsewhere in the economy, underscoring the sector's broad multiplier effect.² The Data Center Coalition (DCC) filed its comments (Initial Comments) in this docket on November 20, 2025.³

III. There is industry support for Commission action and a legally durable approach

In our Initial Comments, DCC commended the Department of Energy and the Commission for initiating this critical examination and urged a "measured approach" that

¹ The Data Center Coalition's website address is www.datacentercoalition.org. Public testimony and written comments submitted by DCC do not necessarily reflect the views of each individual DCC member.

² PwC, *Economic Contributions of Data Centers in the United States*, February 2025, available at <https://tinyurl.com/PwCDataCenterReport>.

³ *Comments of the Data Center Coalition*, Docket No. RM26-4-000 (filed Nov. 21, 2025) ("DCC Initial Comments").

provides clarity while respecting jurisdictional balances.⁴ We do so again here, and note that this call for a pragmatic and predictable federal framework has been echoed by other industry participants in the record directly engaged in developing the digital infrastructure essential to furthering national security and growing the U.S. economy.⁵

Commenters emphasized the national imperatives behind this proceeding, noting the economic and strategic importance of jointly facilitating large load interconnections while furthering efficient and cost-effective reforms, delivering co-benefits for consumers and end users across the grid.⁶ The Commission, in collaboration with state regulators who continue to play key roles in large load interconnection, has a critical opportunity before it to develop an open and nondiscriminatory framework necessary to meet this challenge.⁷ This consistent theme—that interconnection reform is a prerequisite for U.S. leadership in AI, advanced manufacturing, and the digital economy—validates DCC’s position that the “status quo is not serving the nation’s economic or reliability needs.”⁸ The Commission’s role in providing a clear, workable, and legally durable structure as a result of this proceeding is not only appropriate but urgently needed.

IV. Reinforcing the critical need for transition protections

DCC’s Initial Comments strongly advocated for “clear and legally enforceable transition

⁴ DCC Initial Comments at 2.

⁵ See, e.g., *Initial Comments of Amazon Energy LLC*, Docket No. RM26-4-000, at 1 (filed Nov. 21, 2025) (supporting reforms that “help the United States connect new AI and advanced manufacturing investment quickly, while strengthening grid reliability and affordability for all customers”).

⁶ See, e.g., *Initial Comments of Iron Mountain Data Centers*, Docket No. RM26-4-000, at 1 (filed Nov. 21, 2025) (stating reforms “would provide efficient and cost-effective processes that result in fair cost allocation for all electric customers”).

⁷ See, e.g., *Initial Comments of Microsoft, Inc.*, Docket No. RM26-4-000, at 2 (filed Nov. 21, 2025) (noting the Commission’s leadership presents “an important opportunity... to develop an open and nondiscriminatory framework”).

⁸ DCC Initial Comments at 3.

provisions” to ensure that reforms aimed at improving future processes do not disrupt projects that have made significant commitments under existing rules.⁹ This principle of regulatory certainty and the protection of settled expectations is fundamental to maintaining investment confidence, a concern shared across the industry.

Some commenters have stated that projects with existing interconnection agreements must be permitted to move forward under their current frameworks and grandfathered from any new requirements,¹⁰ and any new requirements should be purely prospective.¹¹ Support has been expressed for transition plans that mitigate existing risk and do not create new regulatory uncertainty for projects already under study or construction.¹²

Regardless of specific flavor, the uniform support for robust transition rules underscores their overall necessity. As DCC stated, the goal of this proceeding must be to “accelerate—not pause—critical load and generation projects already advancing under existing frameworks.”¹³ The Commission should incorporate explicit grandfathering and transition pathways in any final rule to provide this essential certainty.

V. It is imperative the Commission resolve uncertainties around hybrid facility interconnections.

DCC’s Initial Comments emphasized the urgent need to resolve the “highly inconsistent”

⁹ *Id.* at 4.

¹⁰ *See, e.g., Comments of Vantage Data Centers*, Docket No. RM26-4-000, at 11-12 (filed Nov. 21, 2025) (“[I]t is imperative that projects with existing interconnection agreements are permitted to move forward under their current frameworks and grandfathered from any reform that is put in place.”); *Amazon Energy Comments* at 3 (urging prospective application and grandfathering for projects with executed agreements and significant financial commitment).

¹¹ *See, e.g., Iron Mountain Comments* at 2 (“[E]xisting interconnection agreements should be exempted from actions the Commission orders as part of this docket and any new orders should be prospective.”).

¹² *See, e.g., Microsoft Comments* at 17 (expressing support for “transition plans that mitigate existing risk and do not create new regulatory risk or uncertainty for projects” and that provide stability for projects under study or construction).

¹³ DCC Initial Comments at 5.

treatment of hybrid load-plus-generation facilities, which creates uncertainty and undermines potential reliability and cost benefits.¹⁴ DCC urged the Commission to act on the “complete record on co-location issues in PJM” to “deliver immediate clarity.”¹⁵ The record before FERC in this docket reveals detailed support for action in already-existing Commission records with emphasis on co-located or hybrid arrangements.

- **Support for Integrated Studies and Net Impact Analysis:** DCC advocated for studying new load and new generation together to capture system benefits.¹⁶ This approach is strongly supported as a means to speed up the interconnection process by eliminating duplicative studies and facilitating more efficient grid planning.¹⁷ The principle of studying paired load and generation based on their requested injection and withdrawal rights has been endorsed as a way to facilitate development while minimizing strain on existing infrastructure.¹⁸ Detailed comments have highlighted the benefits of integrated studies, including reducing grid impacts, avoiding re-studies, and aligning net impact with interconnection costs.¹⁹
- **Expedited Treatment for Efficient Configurations:** DCC’s framework supports efficient hybrid configurations as a “valid and efficient option.”²⁰ The ANOPR’s Principle 7, regarding expedited study for flexible configurations, has received significant attention. Support exists for creating expedited pathways for configurations that provide demonstrable grid benefits, with many commenters emphasizing the need for such pathways to accommodate the diverse operational profiles of large loads.²¹ Support has been expressed for considering expedited treatment as an incentive for voluntarily flexible loads or paired generation, while also urging cautious consideration of mandates

¹⁴ *Id.* at 5.

¹⁵ *Id.* at 6 n.3.

¹⁶ *Id.* at 5-6.

¹⁷ *See, e.g., Microsoft Comments* at 13-14 (stating combined studies “have the potential to speed up the interconnection process... by eliminating duplicative, and potentially conflicting, studies and will facilitate more efficient grid planning”).

¹⁸ *See, e.g., Comments of Google LLC*, Docket No. RM26-4-000, at 40-41 (filed Nov. 21, 2025) (endorsing studying paired load and generation based on injection/withdrawal rights to facilitate development while minimizing grid strain).

¹⁹ *See, e.g., Vantage Comments* at 54-55 (detailing benefits including reducing grid impacts, avoiding re-studies, and aligning “net injection/withdraw” impact with interconnection costs).

²⁰ DCC Initial Comments at 6.

²¹ *See, e.g., Microsoft Comments* at 15 (agreeing expedited processes “will be an important tool for accelerating the deployment of critical AI infrastructure,” while noting many data centers have limited curtailment capability).

that could create practical and regulatory complexities.²² It has also been raised that expedited processes should not be limited to curtailable loads, as this may be incompatible with operational requirements, and that coordination of new load and incremental generation alone warrants expedited study.²³

- **Clarity on Interconnection Pathways and Immediate Action Needed:** One key challenge identified by industry is the lack of a clear tariff pathway for hybrid facilities. Recommendations have been made to allow innovative proposals where a large load can present a package of resources to mitigate system impacts.²⁴ Calls have been made for the Commission to establish nationwide rules governing interconnection arrangements involving generation resources paired with new large loads.²⁵ There is also a request for clarity on the conditions for siting and operating co-located facilities prior to formal grid connection.²⁶
- **Calls for Parallel Action in Pending Proceeding:** Importantly, specific recommendations have been made for the Commission to expeditiously issue orders in relevant pending proceedings, to provide the industry and other stakeholders alike with much-needed guidance on the viability of large loads co-locating at generating facilities.²⁷

The collective weight of these comments underscores the urgent and practical need for the Commission to provide definitive guidance. As DCC noted in its initial comments, the Commission already has a ripe record in the pending PJM co-location proceeding (Docket Nos. EL25-49, EL25-20, AD24-11).²⁸ Resolving this issue in the existing dockets, and extending principles nationally through this rulemaking, is the most direct way to unlock the significant system benefits that hybrid configurations offer and to provide the certainty developers require.

²² See, e.g., *Google Comments* at 42 (supporting consideration of expedited treatment as an incentive); *Vantage Comments* at 55-57 (urging cautious consideration of dispatchability mandates).

²³ See, e.g., *Comments of Meta Platforms, Inc.*, Docket No. RM26-4-000, at 4-5 (filed Nov. 21, 2025) (arguing expedited processes should not be limited to curtailable loads and that “coordination of new load and incremental new generation... warrants expedited study”).

²⁴ See, e.g., *Comments of Equinix, Inc.*, Docket No. RM26-4-000, at 4-5 (filed Nov. 21, 2025) (recommending allowing “aggregated resource” proposals).

²⁵ See, e.g., *Google Comments* at 5-6.

²⁶ See, e.g., *Meta Comments* at 6.

²⁷ *Amazon Energy Comments* at 7 (“Amazon Energy respectfully encourages the Commission to expeditiously issue an order in the pending proceeding in Docket No. AD24-11-000, which would provide the industry with much needed guidance as to the viability of large loads co-locating at generating facilities going forward.”).

²⁸ DCC Initial Comments at 6 n.3.

VI. Preserving market access for stand-alone load

While championing clarity for hybrid facilities, DCC’s Initial Comments underscored that a durable framework “must allow load to interconnect efficiently, whether or not that load is paired with on-site supply.”²⁹ The interconnection process must continue to support stand-alone load procuring power through competitive wholesale markets, which harness competition for the benefit of all consumers.

Throughout this record, the data center industry has affirmed principles of customer choice and commercial flexibility. Concerns have been raised against artificially constraining flexibility options to those located behind the same meter, at risk of creating uneconomic outcomes and inadvertently introducing discrimination.³⁰ Caution has been advised that pairing of load with generation must remain a *voluntary* incentive, not a requirement, to avoid unjust and unreasonable discrimination.³¹ The importance of multiple, geographically diverse interconnection points for operational resiliency has been highlighted, which relies on accessible grid interconnections.³²

The Commission’s longstanding commitment to open access and competitive markets is a cornerstone of the modern grid. Any new interconnection framework must preserve the ability of load to rely on these “competitive markets whose design the Commission has spent more than two decades refining.”³³

²⁹ *Id.* at 7.

³⁰ See, e.g., Equinix Comments at 4 (warning against constraining flexibility options to behind-the-meter resources).

³¹ See, e.g., Google Comments at 10 (cautioning that pairing must be a voluntary incentive to avoid being “unjust and unreasonable and unduly discriminatory”).

³² See, e.g., *Comments of Oracle America, Inc.*, Docket No. RM26-4-000, at 2 (filed Nov. 21, 2025) (highlighting the need for “multiple data centers in multiple locations” for resiliency).

³³ DCC Initial Comments at 7.

VII. Interconnection reform as part of a broader infrastructure and planning imperative

DCC’s Initial Comments correctly framed interconnection delays as a “symptom of a deeper and more structural issue”—a lack of sufficient transmission infrastructure and forward-looking planning.³⁴ The solution requires exercising the Commission’s existing authorities in parallel to address planning, grid-enhancing technologies, and generation interconnection reform.

This “systemic” view of the issue has been reiterated by stakeholders throughout the record, with comments stating that the challenge is as much about the transmission grid itself as it is about interconnection, and arguing for a holistic transmission planning process that harmonizes load and generation interconnection.³⁵ The transformative impact of large loads, and urgent need for interconnection processes that enable system-optimal investments, could not be clearer.³⁶ DCC’s call for the Commission to “focus on the infrastructure challenge through appropriate long-term transmission planning” and to require deployment of grid-enhancing technologies is a necessary component of any effective interconnection reform effort.³⁷

VIII. Conclusion

There is broad-based agreement among stakeholders on the critical need for the Commission to:

1. Establish a clear, predictable, and nondiscriminatory framework for large load interconnection;
2. Enact strong transition protections for projects in advanced development;
3. Resolve, with urgency, the regulatory uncertainty surrounding hybrid load-generation

³⁴ *Id.* at 8.

³⁵ *See, e.g., Google Comments* at 2 (stating the challenge “is as much about the transmission grid itself as it is the interconnection of data centers” and arguing for a “holistic transmission planning process”).

³⁶ *See, e.g., Equinix Comments* at 7 (discussing the “transformative impact” of large loads and arguing that “large load interconnection processes should enable system optimal investments”).

³⁷ DCC Initial Comments at 10-11.

facilities, leveraging the existing record in related open dockets already before FERC;
and

4. Ensure any framework preserves the competitive market's ability to serve stand-alone load.

The need for timely interconnection is mission-critical for U.S. economic growth and strategic technological leadership. DCC reiterates its support for the Commission's leadership in this area and urges the Commission to move expeditiously towards a framework that addresses these priority issues, providing the certainty needed to power America's future. The national stakes are clear, and maintaining resource adequacy, economic competitiveness, and technological leadership require the nation to remain capable of interconnecting both load and supply at the pace required by today's economy. DCC looks forward to working with the Commission, states, utilities, RTOs, and other stakeholders to help develop an approach that meets these challenges while upholding the principles of reliability, nondiscrimination, and open access that remain at the core of federal energy regulation.

Respectfully Submitted,
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service list compiled by the Secretary in this proceeding. Dated at Herndon, VA this 5th day of December 2025.

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